

CHAPTER 9

4 Killer Options Strategies For Intraday Trading

Equity offers less risk and less reward. Futures offer medium risk and medium reward.

But options are a versatile trading instrument that offers less to vast risk, less to significant reward, all depending on how a trader uses options.

Besides, options can also be used to protect the portfolio (hedging) and maximize the returns of the portfolio (covered calls). In addition, one can calculate how much a option contract earns or loses once the deadline (expiry) arrives.

Both equity and futures are bi-directional products – it means a trader can make money by predicting the direction (either upside or downside). However, a trader can make money irrespective of the direction (up, down, or sideways) with options.

The opposite of 'hedging' is 'speculation'. Options can also be used for speculation. In addition, options offer the highest risk-reward in speculation compared to both equity and futures.

It offers the below advantages:

- It has the potential to give higher returns
- It can be deployed with a small capital
- It provides different varieties of alternative strategies.

Why Options Trading is a Must Going Forward?

It is easy to understand why buying some stocks in the cash market is appealing to many traders because it is easy to understand and execute. Up to some extent, futures are also easy to manage. But when it comes to